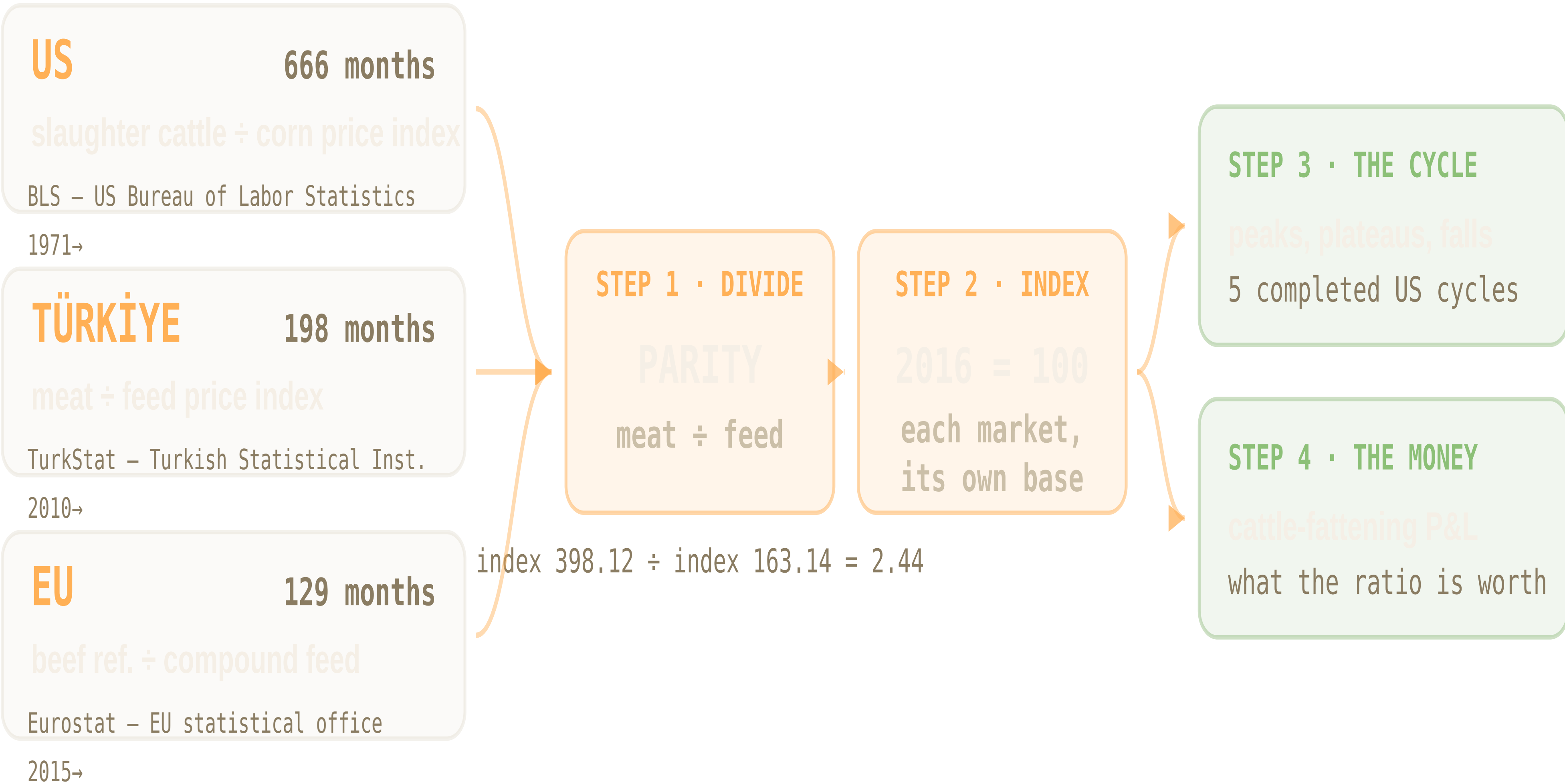
1 · WHAT THIS STUDY IS · JULY 2026

# 55 years of US data. 16 of Türkiye. 11 of the EU.

**Six published price series — every monthly observation each country has — consolidated into one comparable measure of what a livestock producer earns, then read for its cycle.**




EVERY FIGURE IS AN OFFICIAL PUBLISHED PRICE · NOTHING ESTIMATED OR FILLED IN BY US · DATA THROUGH JUNE 2026

# Cattle producers in all three of our markets are at a cycle peak.

+84% US +25% EU +21% TR

more feed a kilo of beef buys today than it did in 2016 — each market against its own past

13

months the US has already spent within 10% of its peak

0

of the five previous US peaks that lasted — every one fell back

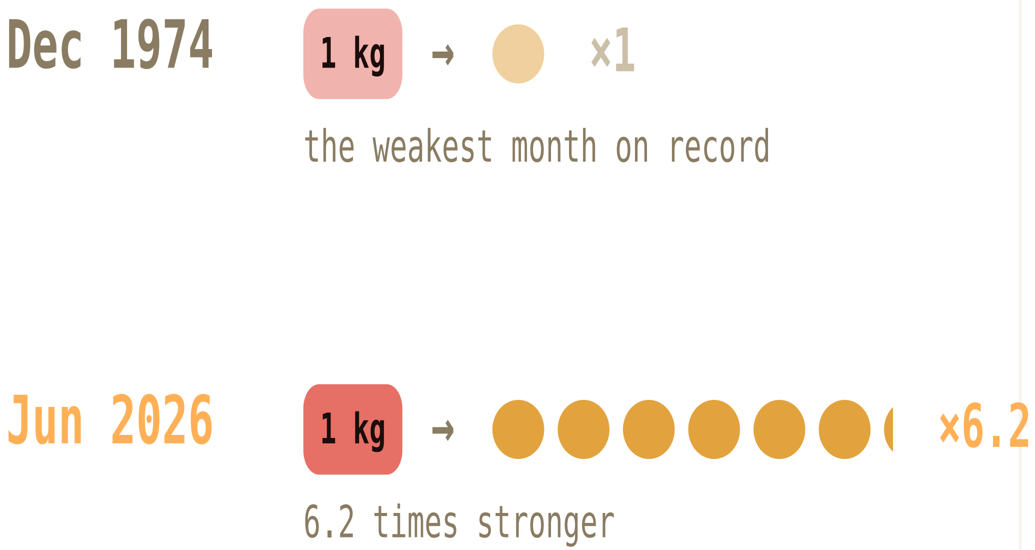
MEAT PRICE ÷ FEED COST · SOURCES: BLS (US), EUROSTAT (EU), TURKSTAT (TÜRKİYE) · DATA THROUGH JUNE 2026

3 · WHAT YOU ARE LOOKING AT

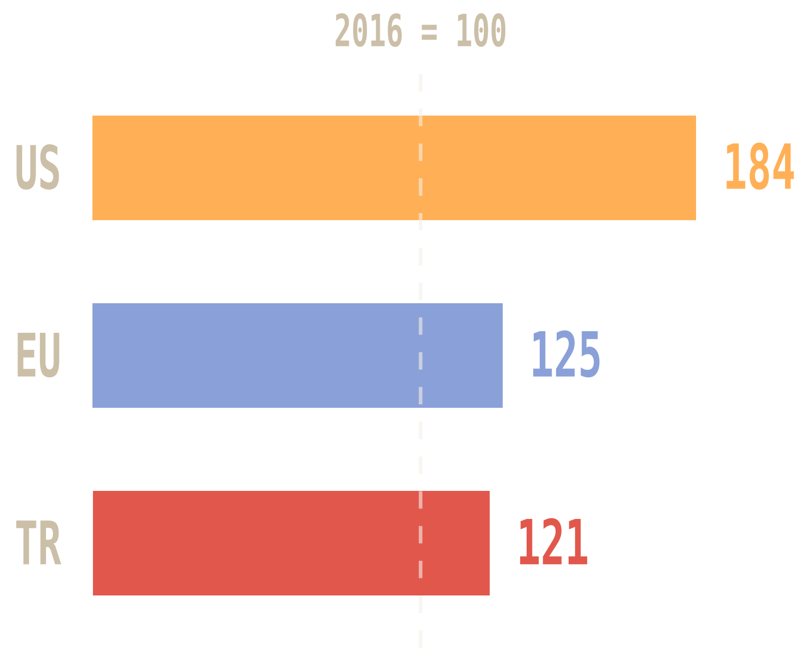
# One ratio: what a kilo of beef is worth in feed.

**Higher = meat outpacing feed, the producer earns more.** It is a relative measure — read it against its own past, never as a quantity of feed.

## FEED-BUYING POWER OF A KILO OF US BEEF




## ALL THREE MARKETS · EACH VS ITS OWN 2016




US 184 = 84% more feed per kilo of beef than in 2016.

each oval = the Dec 1974 low · ratio of US cattle and corn producer price indexes

Same-market change is comparable; raw price levels are

**US** slaughter cattle ÷ corn
BLS (US federal statistics office) · 1971→ · 666 mo

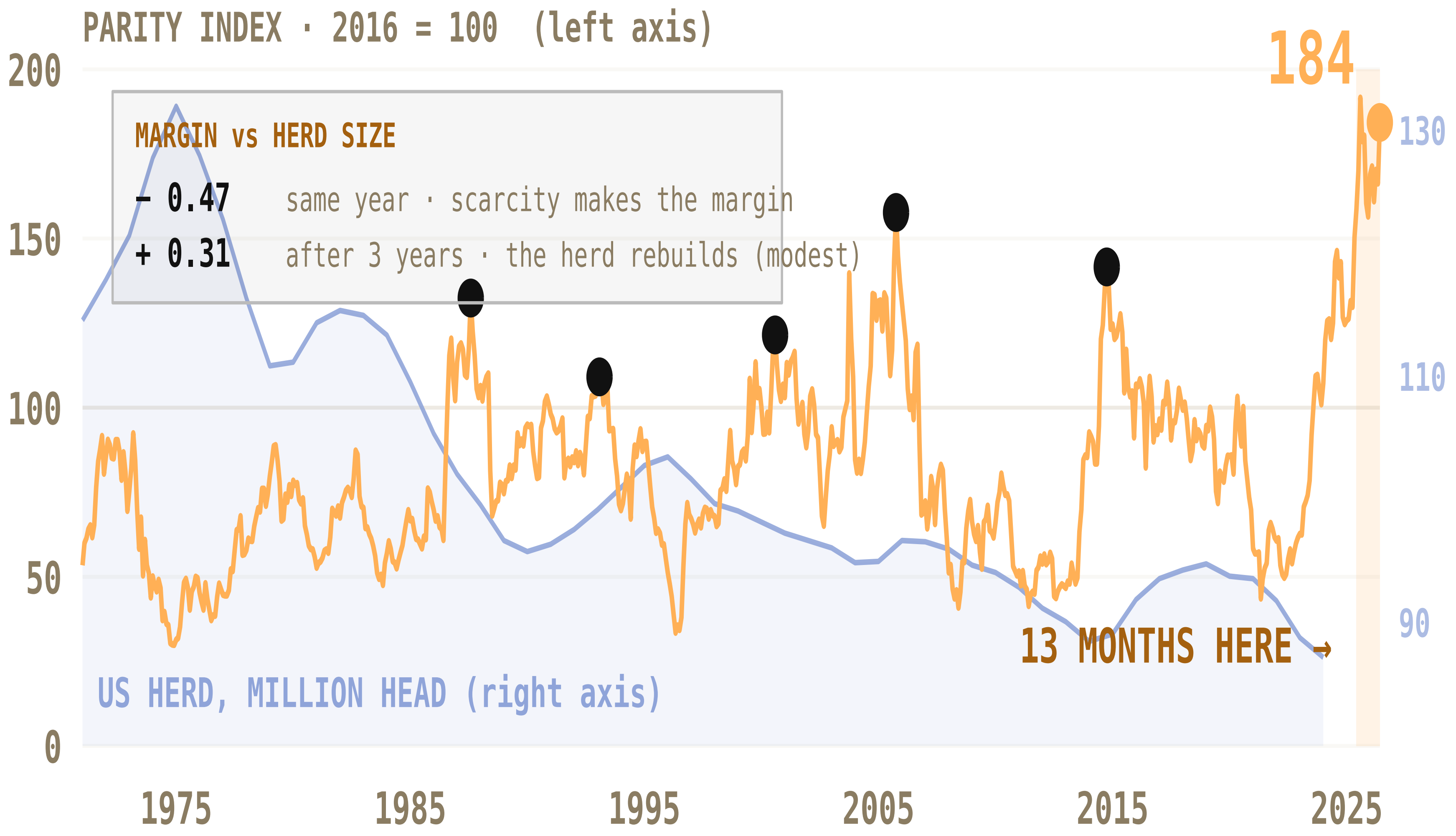
**EU** beef ref. price ÷ compound feed
Eurostat · 2015→ · 129 mo

**TR** meat ÷ feed PPI
TurkStat · 2010→ · 198 mo

Not the same basket in each country — which is why each series is indexed to its own base, and why we read shape rather than level.

# Record margins. Fewest cattle since the series began.

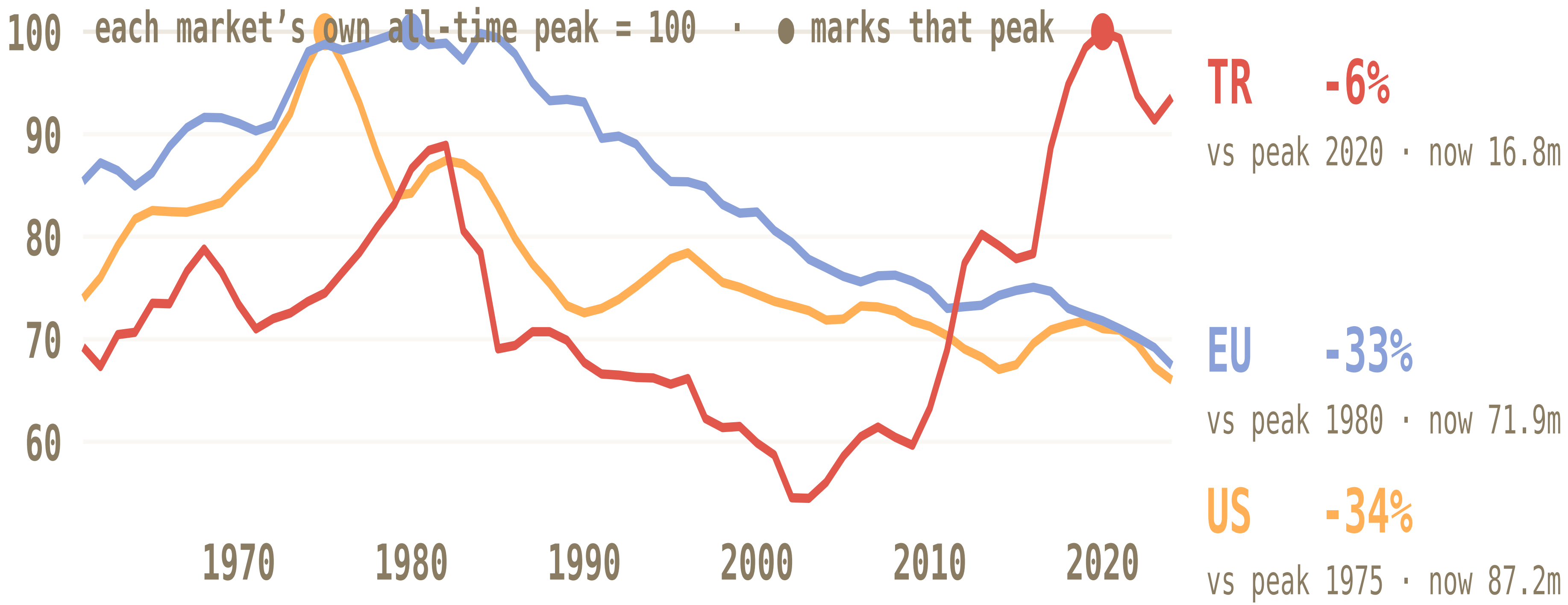
US only. Amber = producer margin ratio (left). Blue = the size of the US cattle herd (right). Scarcity is what makes the margin.




PARITY: MONTHLY, 2016 = 100 · HERD: FAOSTAT, ANNUAL · DOTS = PREVIOUS CYCLE PEAKS · 84% OF THE RATIO'S MOVEMENT COMES FROM FEED

# Two herds down a third. One still growing.

**Cattle numbers, each market against its own all-time peak.** Margin is measured per animal — this is how many animals there are.



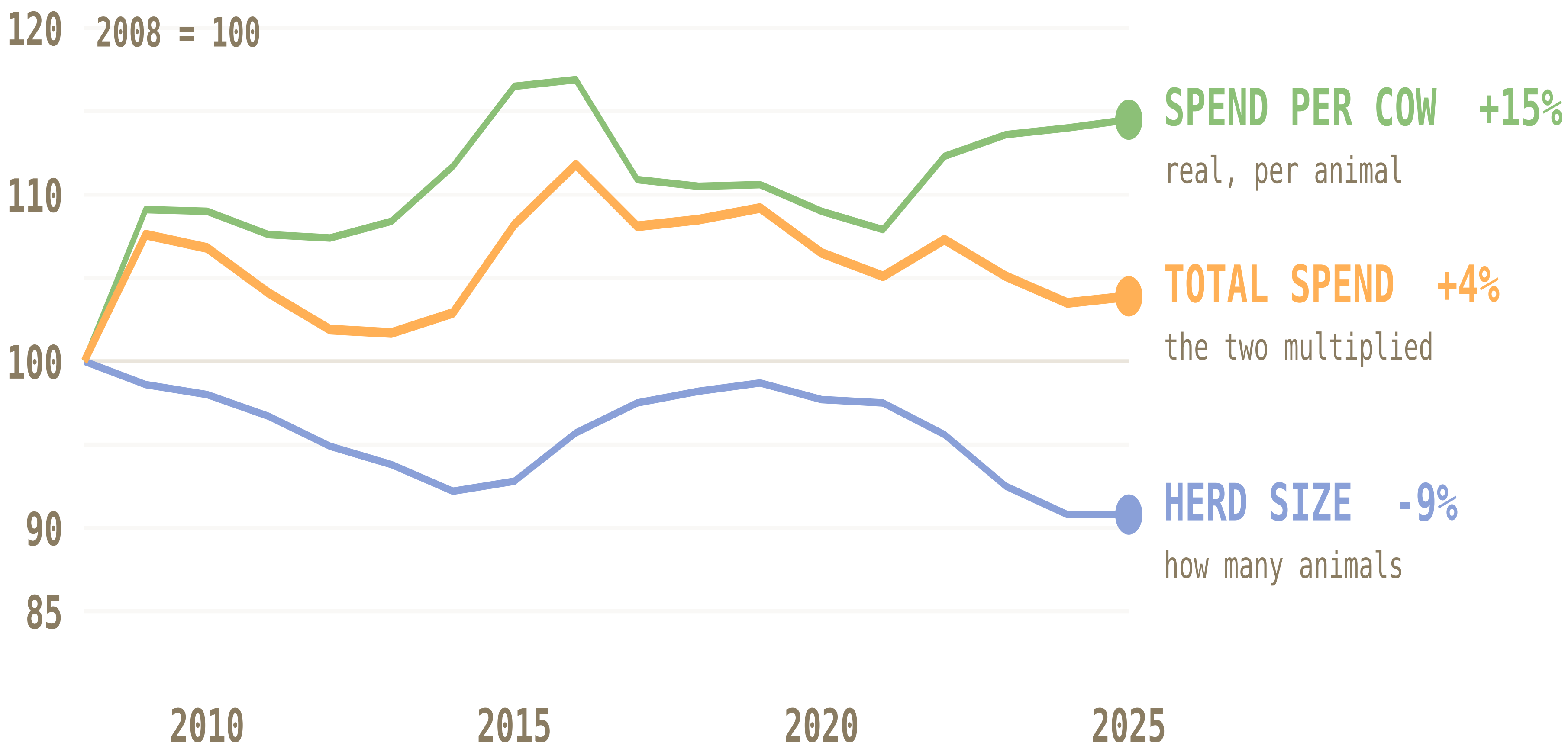

These counts include dairy and beef animals together — FAOSTAT reports all cattle. Parity, by contrast, is a beef measure throughout. That matters most for the EU, where a large part of the decline is dairy restructuring (fewer, higher-yielding cows, accelerating after quotas ended in 2015) rather than the beef cycle. The US herd is predominantly beef, so its line is the closest match to the parity line. Series ends 2024; FAOSTAT publishes with roughly an 18-month lag.

FAOSTAT CATTLE STOCKS, ANNUAL, 1961–2024 · EACH SERIES INDEXED TO ITS OWN PEAK YEAR = 100 · DAIRY AND BEEF COMBINED

6 · DOES THE SPEND FOLLOW? · UNITED STATES

# More per animal. Fewer animals. Total flat.

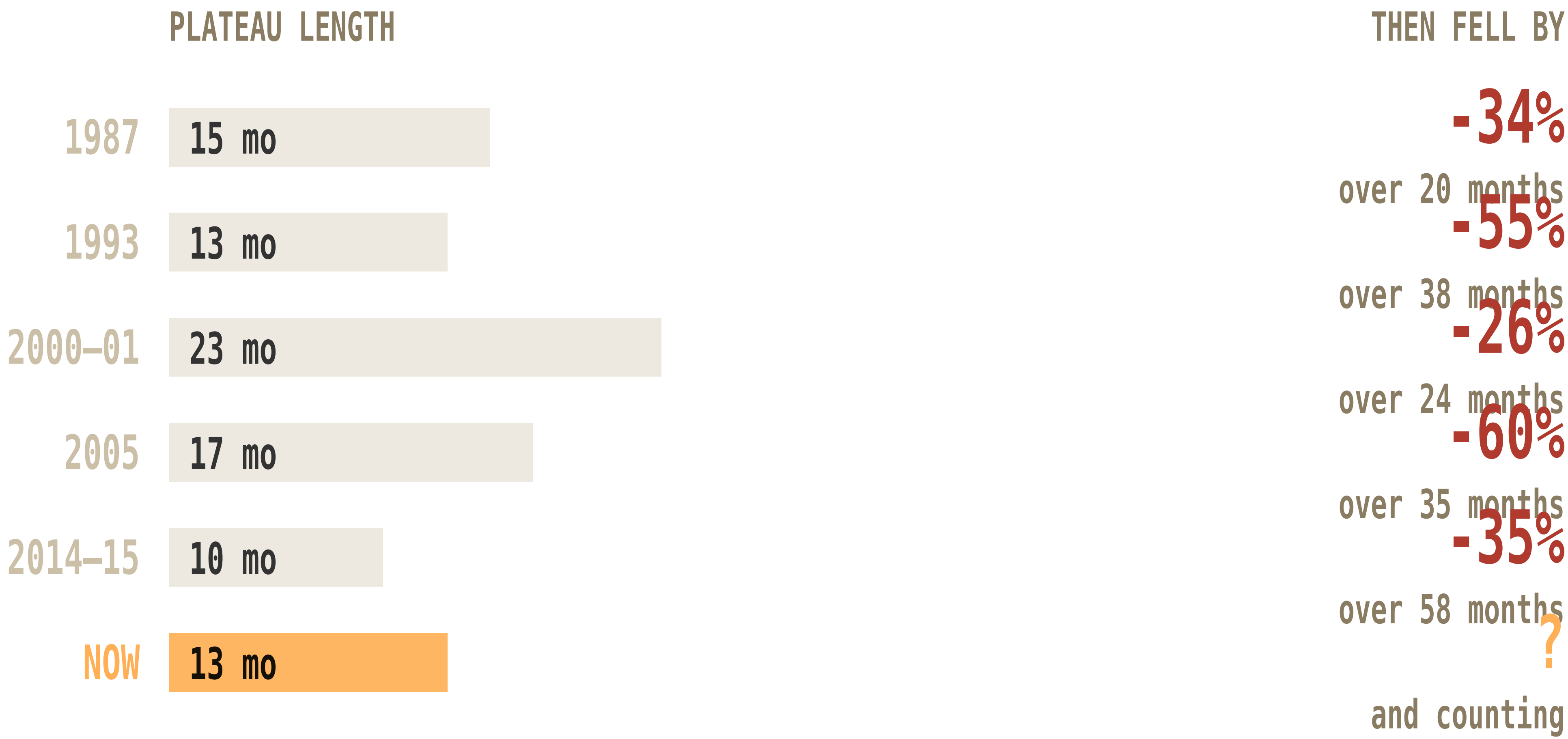
US cow-calf vet & medicine spending, inflation-adjusted. Per animal it rises with the margin (r = +0.70) — the shrinking herd cancels it out.




USDA ERS COW-CALF COSTS, US TOTAL · 2008 = 100, REAL 2025 DOLLARS · STARTS 2008: ERS CHANGED SURVEY BASIS THAT YEAR

# Five US peaks. Every one fell 25–60% — over two to five years.

**US cycles, 1971–2026 — the only record long enough to count them.** Peaks and falls measured on the twelve-month average, so single-month spikes do not count as cycles.

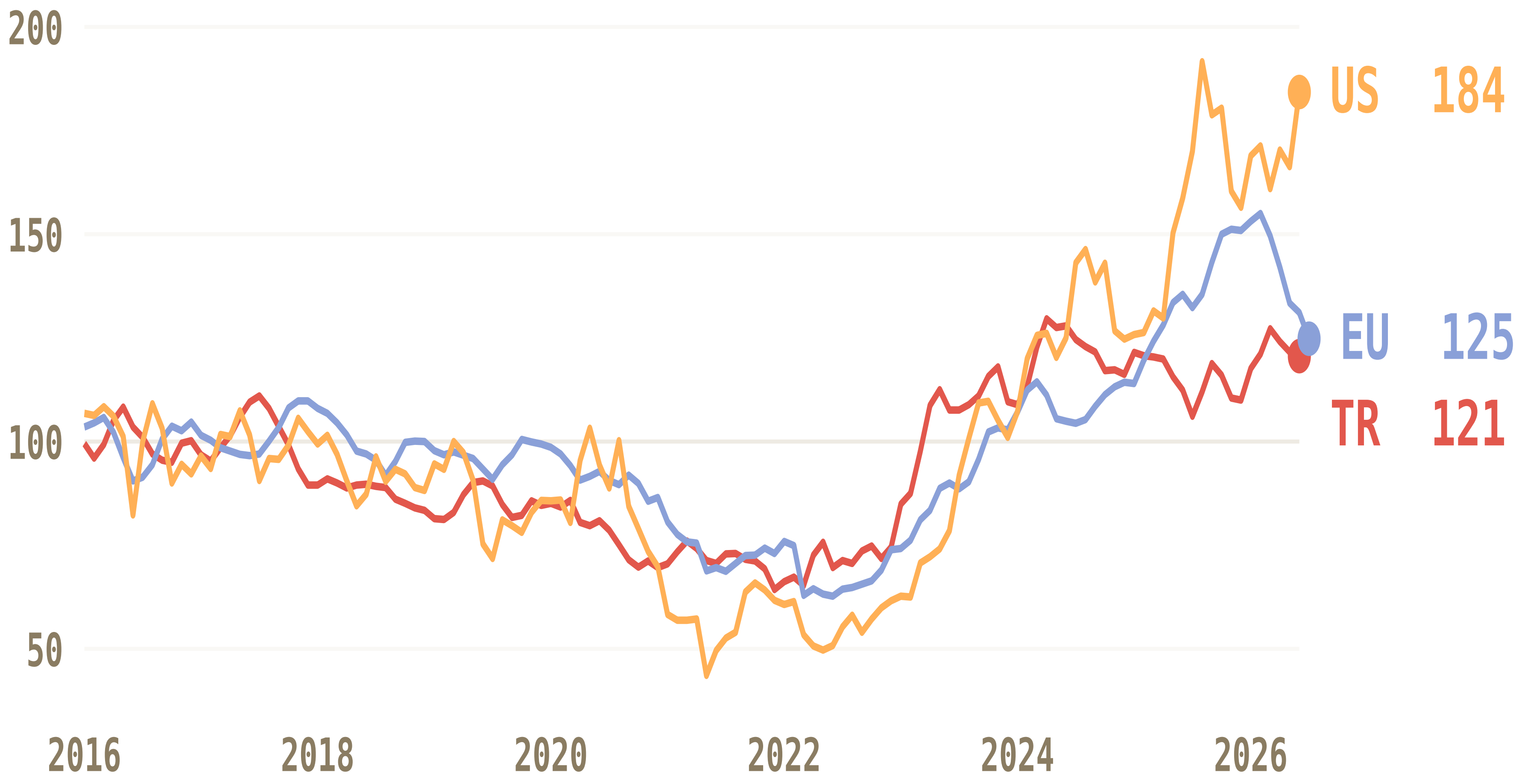



TWELVE-MONTH AVERAGE · PLATEAU = MONTHS WITHIN 10% OF PEAK · FALL = PEAK TO THE NEXT LOW · A CYCLE PEAK IS A LOCAL MAXIMUM OVER ±18 MONTHS

8 · WHO IS EXPOSED · ALL THREE MARKETS

# Three markets. One cycle. At the same time.

Now all three — each on its own 2016 = 100 base. Watch the shape, not the gap: levels are not comparable, timing is. The last year diverges — the US is still climbing while the EU cools — because each herd rebuilds on its own schedule.

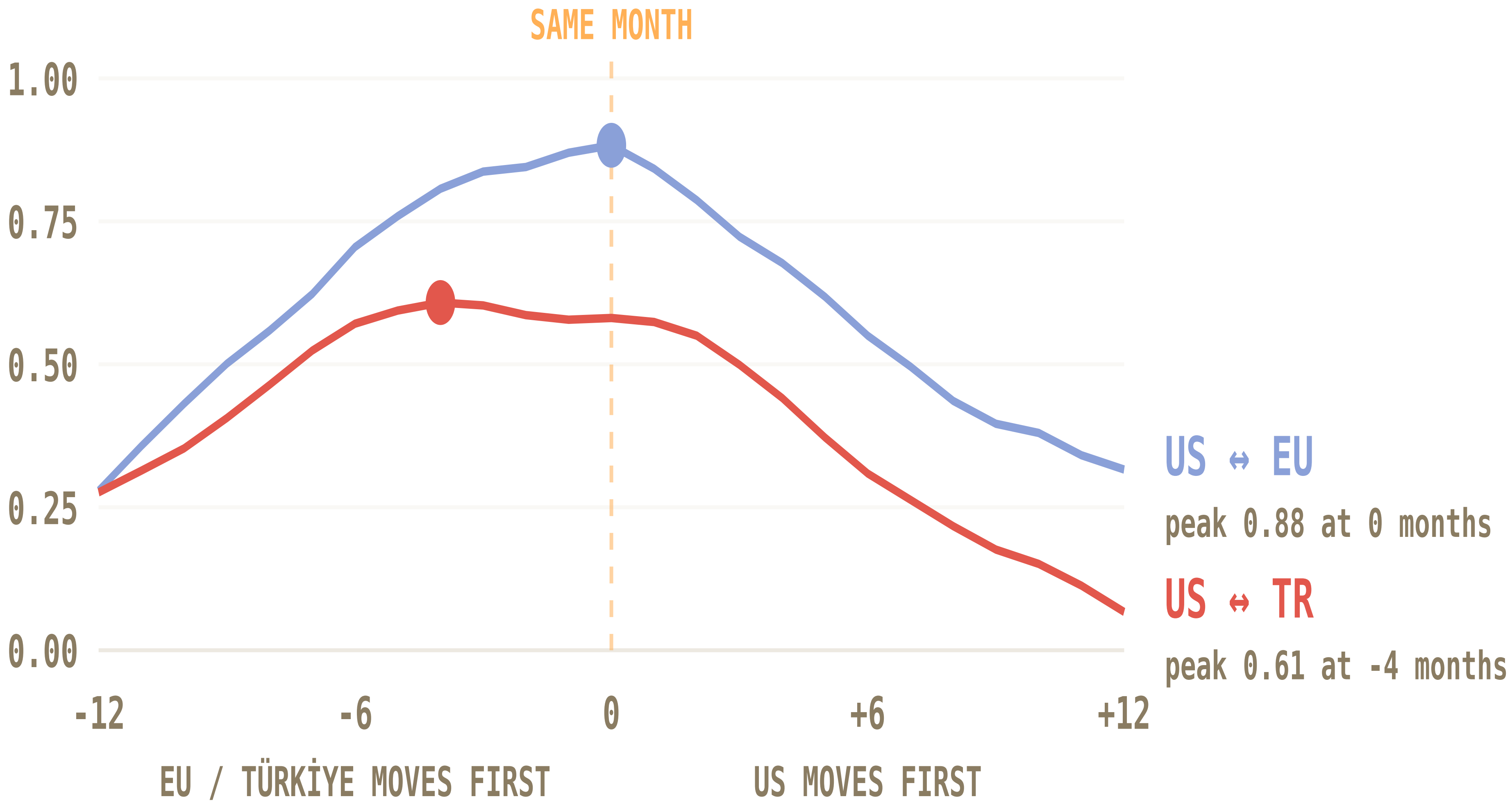



EACH MARKET INDEXED TO ITS OWN 2016 AVERAGE = 100 · CHART STARTS 2016: FIRST YEAR ALL THREE SERIES EXIST · EU IS THE 27-MEMBER AGGREGATE, NOT ANY ONE COUNTRY

9 · ARE THEY REALLY THE SAME CYCLE?

# Yes — and nobody goes first, so there is no early warning.

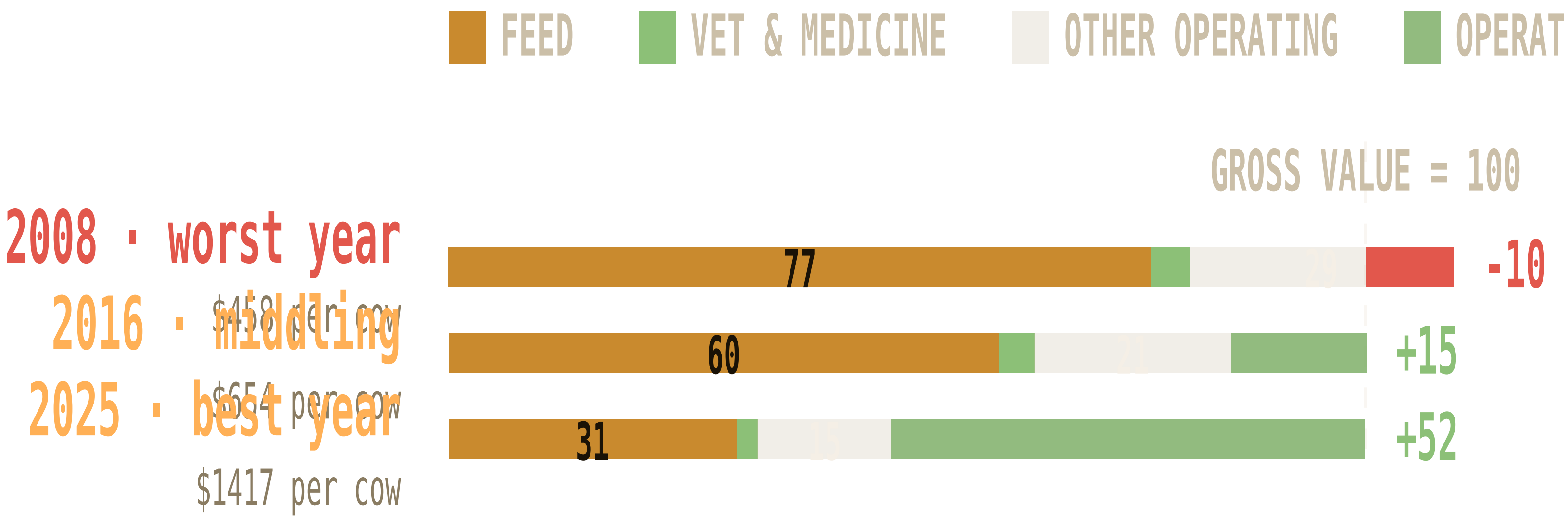
Correlation of year-on-year change, tested at every shift from −12 to +12 months. A market that led would peak clearly off-centre. The EU peaks exactly at zero; Türkiye is flat across −4 to 0.




IF ONE MARKET LED, WE COULD WATCH IT AND PREPARE THE OTHERS. IT DOES NOT. · PEARSON CORRELATION ON YEAR-ON-YEAR CHANGE · US–EU 116 OVERLAPPING MONTHS · US–TÜRKİYE 186

# Feed was 77% of revenue. Now it is 31%.

**USDA's own cow-calf accounts, per $100 of gross value.** Nothing modelled — these are surveyed costs. The feed line does the swinging; vet spend barely moves.




**Operating margin, not profit** — excludes overhead, unpaid family labour and capital recovery (USDA costs these at ~¾ of gross value). Cow-calf, not feedlot, so no calf-purchase line.

EVERY SOURCE IN THIS DECK

**Meat & feed prices**
US: BLS producer price indexes WPU0131 (slaughter cattle) ÷ WPU012202 (corn), via FRED, 1971→
EU: European Commission beef reference price ÷ feed grain, 2015→
Türkiye: TurkStat Yİ-ÜFE TP.TUFE1YI.T17 ÷ T25, via CBRT EVDS, 2010→

**Cattle numbers**
FAOSTAT cattle stocks (head), via Our World in Data, 1961–2024, all three markets

**Veterinary spend**
US: USDA ERS commodity costs and returns, cow-calf, 1996→
EU: Eurostat Economic Accounts for Agriculture, item AM205000, 2005→

**Deflators**
US: CPI-U (FRED CPIAUCSL) · Euro area: HICP (FRED CP0000EZ19M086NEST)

**Breaks & limits**
ERS changed survey basis in 2008 — no comparison spans it. EU veterinary line covers all livestock, not cattle alone. No per-head cost accounts published for Türkiye.

All series fetched automatically and committed to the repository — every figure in this deck is reproducible from data/*.json. Data through June 2026.

# Six numbers. Each one checkable.

**Each one reproducible from the committed data files.** Three describe where we are; three describe what it does to us.

**184**

### US margin at a 55-year record

2016 = 100. The twelve highest months in the whole series have all fallen since June 2025.

**0** of 5

### previous US peaks that held

Every one reversed — 25 to 60%, over two to five years. Five observations: a pattern, not a law.

**0.88**

### US–EU correlation at zero lag

One global cycle with no leader and no follower, so there is no early-warning market to watch.

**−34%** / −33%

### US and EU herds below their peaks

Scarcity is what makes the margin: parity and herd size correlate −0.47 in the same year.

**+0.70**

### US spend per head vs producer margin

The strongest relationship in the study. In the EU the same measure is flat — no cycle response at all.

**+4%**

### the real US pool, in seventeen years

Spend per head +15%, herd −9%. More per animal, fewer animals, and the two nearly cancel.

# Three markets. Three different instructions.

**Same cycle everywhere, three different consequences.** The US is a timing problem. The EU is a volume problem. Türkiye is a visibility problem.

## US

HOW MANY ANIMALS

↘ -34%

vs peak · now 87m · bottom 2024

SPEND vs MARGIN — cyclical

r = 0.70

THE MONEY IN THE MARKET

+4% 17-yr real pool

**TIME THE PRICE MOVE**

2027 points up: the record margin still feeds spend per head, and the herd is bottoming. Phase the increase before the plateau breaks.

## EU

HOW MANY ANIMALS

↘ -33%

vs peak · now 72m · -1.4%/yr

SPEND vs MARGIN — flat

r = 0.00

THE MONEY IN THE MARKET

-5% 20-yr real pool

**DEFEND THE VOLUME**

2027 is not a bad year — it is the same year, ~1.5% smaller. No cycle upside, no cycle hit; the herd erodes regardless.

## TÜRKİYE

HOW MANY ANIMALS

↗ -6%

vs peak · now 17m · +2.4% 2024

SPEND vs MARGIN — no data

–

THE MONEY IN THE MARKET

n/a not measurable

**GROW, AND GET VISIBILITY**

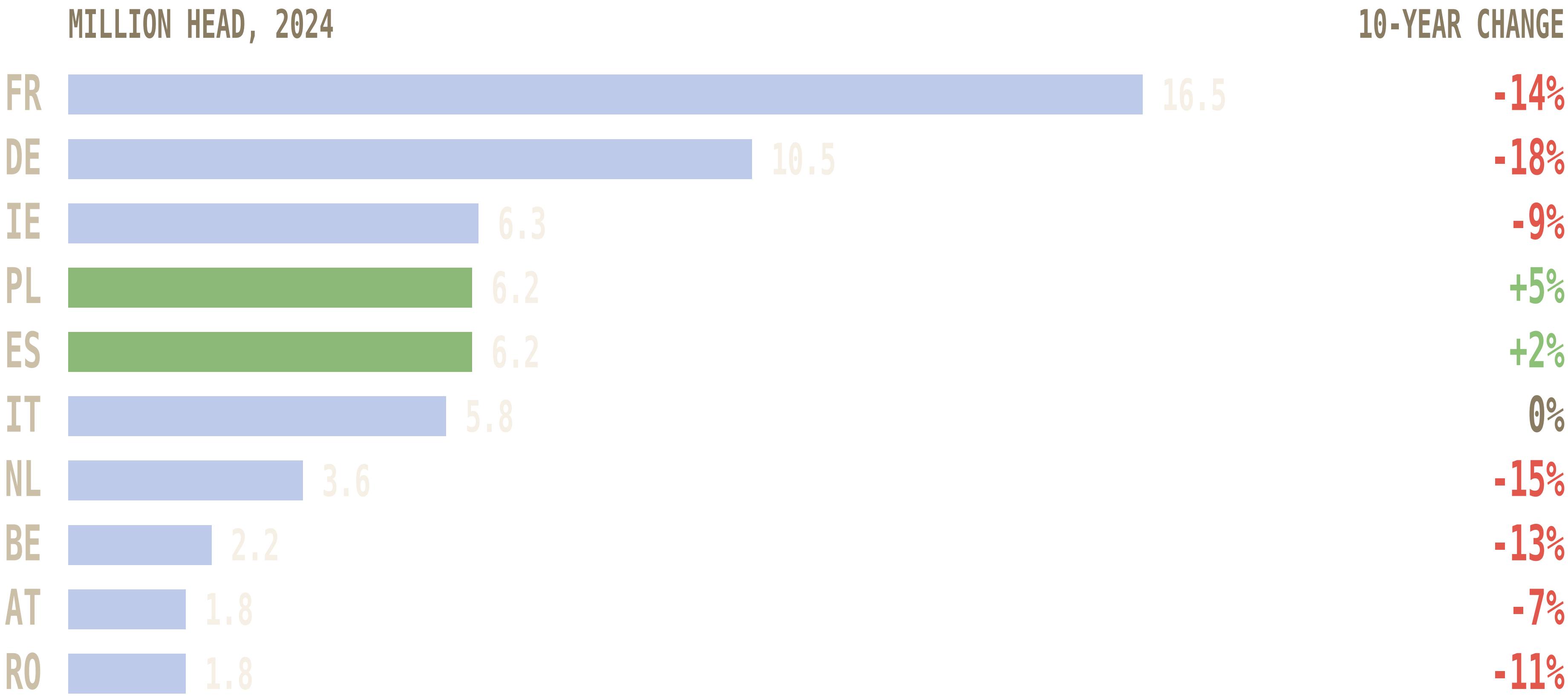
2027 is the only market where head count adds to volume — and the only one where we cannot see what producers spend.

**What I am asking for:** two to three weeks with the livestock commercial teams — map our cattle-segment sales in the CEEME markets through the last two downturns against this ratio, and rank that portfolio by what a producer defers first. **What I need from you is an introduction to the livestock lead.**

HERD: FAOSTAT · SPEND SENSITIVITY = CORRELATION OF REAL VET SPEND PER HEAD WITH PRODUCER MARGIN · NO PER-HEAD COSTS PUBLISHED FOR TR

# The EU average hides two Europes.

**All cattle — dairy and beef combined — per member state, 2024, with the ten-year change. The decline is the north-west core; Spain and Poland are growing. France and Ireland are the beef-heavy herds; Germany and the Netherlands are mostly dairy, so their fall is dairy restructuring more than the beef cycle.**




Outcome for the EU plan: volume defence is a France–Germany–Benelux problem, not an EU-wide one — and the growth pockets are Spain and Poland. Spend behaves differently too: Germany held real vet spend flat (+3% since 2005) while its herd shrank, so spend per head is *rising*; France cut spend (−27%) faster than its herd fell.

FAOSTAT CATTLE STOCKS BY MEMBER STATE, DAIRY AND BEEF COMBINED, TO 2024 · SPEND: EUROSTAT EAA, ALL LIVESTOCK, REAL 2024 EUR · TOP 10 OF 27 SHOWN = 85% OF THE EU HERD

# Take it in the US. Defend it in the EU. Earn it in Türkiye.

What the producer economics say the 2027 price round should look like. Built on public data — the sales mapping turns it into product-level numbers.

1

### US · FRONT-LOAD THE INCREASE

Spend follows the margin level (r = +0.70, +0.59 into the next year) and 2026 is the strongest margin year on record — the absorption is there. Take a standard-or-above increase **effective January**. Do **not** lock multi-year steps into 2028–29: the plateau is 13 months into a 10–23 month range, and past breaks fell 25–60%. **2027 is the last cheap year to raise US price; 2028 is the year to hold flexibility.**

2

### EU · PRICE AGAINST EROSION, BY COUNTRY

No cyclical window exists — spend per head has ignored the cycle for twenty years while the herd falls ~1.4%/yr. **To hold revenue flat, price must recover ~1.5–2 points a year on top of normal, every year.** Differentiate: headroom in **Germany** (spend per head rising), caution in **France** (spend cut faster than the herd), volume plays in **Spain and Poland**.

3

### TÜRKİYE · VOLUME FIRST, PRICE = PASS-THROUGH

The only market where head count adds volume (+2.4% in 2024). Price rides inflation pass-through; the 2027 priority is **share capture while the herd grows** — and building visibility on producer spend, which no public source measures today.

DIRECTION WELL SUPPORTED, TIMING NOT · SPEND EVIDENCE: US COW-CALF (ERS), EU ALL-LIVESTOCK (EAA) · CONVERT TO PRODUCT LEVEL VIA THE SALES MAPPING ON SLIDE 12